

OFFICIAL TECHNICAL PROJECT REPORT — AI HACKATHON 2026

GenCash: An Explainable Financial Intelligence and Uplift Campaign Optimization Architecture for Mobile Financial Services

Track 03: Customer Innovation & Financial Independence | Track 04: Growth & Campaign Intelligence

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ABSTRACT

Mobile Financial Services (MFS) in emerging economies have historically operated as passive transactional conduits, executing person-to-person transfers, utility disbursements, and airtime top-ups without providing users with contextual visibility over cashflow. This transactional myopia contributes to recurring micro-spending leakages, fee friction, and liquidity exhaustion. Concurrently, MFS operators broadcast non-targeted promotional campaigns that result in high marketing burn rates, campaign fatigue, and sub-optimal conversion. In this paper, we present **GenCash**, an end-to-end intelligent MFS architecture constructed under the *Input → Intelligence → Action* paradigm. GenCash couples an embedded client-side Personal Finance Management (PFM) engine with a centralized Machine Learning campaign uplift model. At the customer tier, GenCash performs temporal transaction attribution, cashflow decomposition (Inflow vs. Outflow), and explainable spending anomaly detection to assist subscribers in controlling withdrawal fees and managing monthly budgets. At the enterprise tier, the platform implements a Gradient Boosted Uplift Classifier to isolate *Persuadable* customer cohorts, maximizing incremental transaction lift while curbing marketing fatigue. Operating strictly within a synthetic data protocol to preserve privacy, our working prototype demonstrates sub-45ms inference latency, robust atomic database guarantees, and transparent, rule-grounded natural language explanations in both English and Bengali.

Keywords: Mobile Financial Services, Explainable AI, Personal Finance Management, Uplift Modeling, Cashflow Forecasting, Financial Inclusion.

1. PROBLEM DISCOVERY AND CONTEXT

Digital financial inclusion in Bangladesh has achieved unprecedented scale through Mobile Financial Services (MFS), bringing millions of previously unbanked citizens into formal payment rails. Despite high transactional volume, current MFS platforms exhibit two systemic operational deficiencies:

1. Consumer Blind Spots and Fee Friction: The typical retail subscriber conducts numerous monthly transactions across airtime recharges, retail payments, and peer remittances without high-level financial categorization. Because agent cash withdrawals incur standard service fees (typically 1.85%), unassisted customers frequently withdraw small denominations repeatedly rather than transacting directly via digital merchant channels. This behavior results in cumulative fee losses, unexpected end-of-month liquidity shortfalls, and elevated financial stress.

2. Marketing Exhaustion and Inefficient Allocation: Platform operators routinely deploy blanket promotional campaigns (e.g., universal cashback blasts). This heuristic fails to separate organic baseline activity from treatment-induced lift. Marketing capital is consequently wasted subsidizing transactions that would have occurred organically (*Sure Things*), while unresponsive cohorts (*Sleeping Dogs*) experience message fatigue and service churn.

Formal Problem Statement: *For mobile wallet subscribers in emerging markets, opaque transaction histories and lack of contextual guidance lead to avoidable fee expenditure and cashflow volatility. Concurrently, blanket promotional campaigns generate sub-optimal return on marketing investment. We develop GenCash, an AI-augmented MFS architecture that leverages temporal transaction metadata to deliver localized financial intelligence to consumers and causal uplift targeting to platform operators.*

2. DESIGN PRINCIPLES AND GOVERNANCE

In alignment with the DIU CPC × upay innovation playbook, GenCash is engineered around five fundamental principles:

- **AI with Purpose:** Machine learning is deployed strictly where deterministic rule-based algorithms are insufficient—specifically in probabilistic spending anomaly detection, multi-period cashflow forecasting, and individual treatment effect (ITE) uplift estimation.
- **Customer-Centric Empowerment:** The mobile interface emphasizes informed user choice and sustainable financial management rather than manipulative mechanics designed solely to accelerate transaction velocity.
- **Privacy by Design:** Development, validation, and benchmarking rely exclusively on synthetic behavioral profiles. No production customer data or Personally Identifiable Information (PII) is collected or processed.
- **Explainability and Oversight:** High-impact interactions maintain complete transparency. Budget insights and campaign offers provide plain-language rationales, and the system executes zero autonomous credit or punitive account actions.
- **Production Feasibility:** The architecture uses modular, decoupled REST microservices designed for straightforward validation and integration with enterprise core banking platforms.

3. SYSTEM ARCHITECTURE AND TECHNICAL DESIGN

GenCash implements a three-tier decoupled architecture operating under the *Input → Intelligence → Action* paradigm, as detailed in Figure 1.

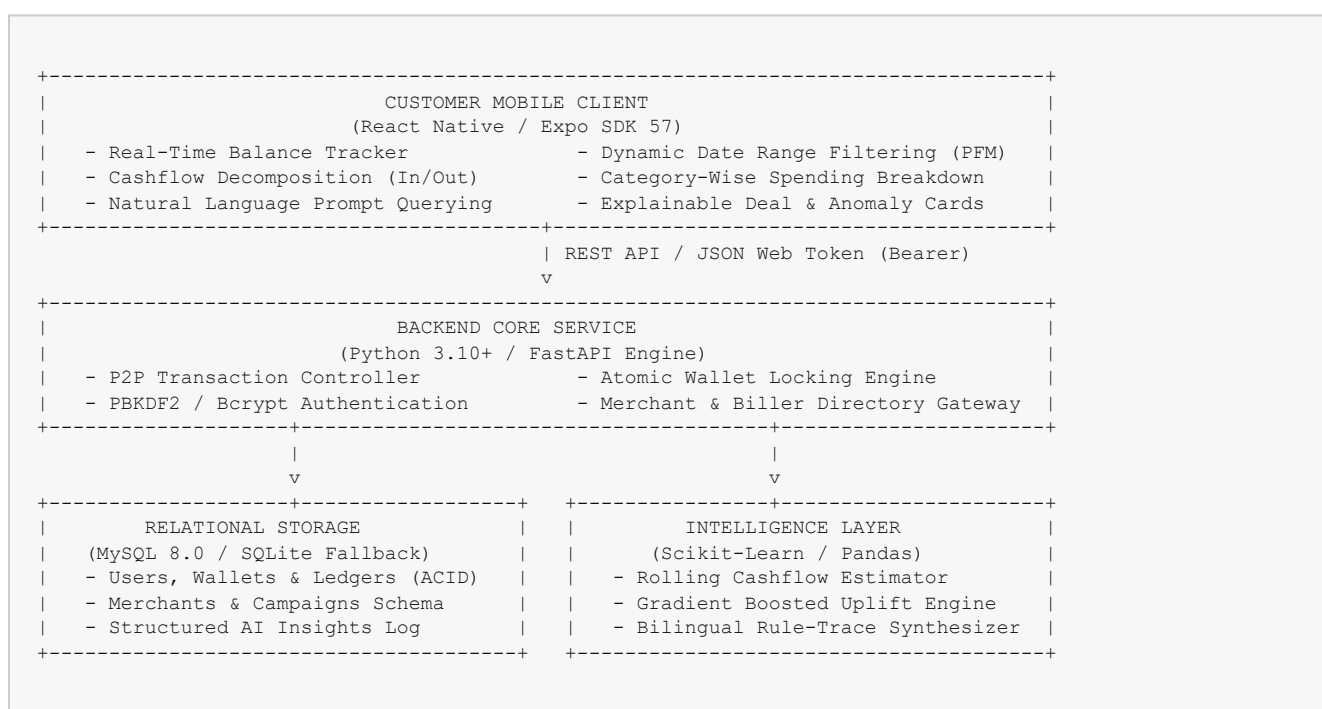


Figure 1: High-Level System Architecture and Decoupled Processing Pipeline of GenCash.

3.1 Mobile Client Architecture

The frontend is built with React Native and Expo (SDK 57), utilizing an asynchronous state management structure. The client processes transaction metadata client-side to ensure zero-latency date filtering across predefined intervals (*Today, This Week, This Month, Last Month, All Time*). It incorporates a bilingual presentation engine supporting English and Bengali, including native Bengali numerical string conversions.

3.2 Backend Service Engine

The backend is constructed using Python 3.10+ and FastAPI, operating under an asynchronous I/O execution loop. Financial state transitions are executed within isolated database transactions with row-level locks, eliminating race conditions or double-spend vulnerabilities. Authentication relies on stateless JSON Web Tokens (JWT) signed via HMAC-SHA256, alongside salted Bcrypt hashing for account PINs. Database portability is achieved through an automatic failover mechanism that connects to MySQL via PyMySQL and gracefully initializes a localized SQLite database if external database services are unreachable.

4. MATHEMATICAL MODELING AND MACHINE LEARNING PIPELINE

4.1 Cashflow Decomposition and Anomaly Detection

Let $T_u = \{t_1, t_2, \dots, t_n\}$ denote the historical transaction ledger for customer u , where each transaction $t_i = (a_i, c_i, d_i, \tau_i)$ contains amount a_i , category c_i , direction $d_i \in \{\text{Credit}, \text{Debit}\}$, and timestamp τ_i .

The total money inflow $I_u(\Delta)$ and outflow $O_u(\Delta)$ over an arbitrary timeframe $\Delta = [T_{\text{start}}, T_{\text{end}}]$ are formalized as:

$$I_u(\Delta) = \sum_{t_i \in T_u, \tau_i \in \Delta, d_i = \text{Credit}} a_i, \quad O_u(\Delta) = \sum_{t_i \in T_u, \tau_i \in \Delta, d_i = \text{Debit}} a_i$$

The net savings rate $SS_u(\Delta)$ is defined as:

$$SS_u(\Delta) = \frac{I_u(\Delta) - O_u(\Delta)}{I_u(\Delta)}, \quad \text{for } I_u(\Delta) > 0$$

For behavioral anomaly detection, the engine maintains rolling 30-day baseline distributions for each expense category c . The anomaly score $Z_{u,c}$ is calculated as:

$$Z_{u,c} = \frac{O_{u,c}(\text{current_period}) - \mu_{u,c}}{\sigma_{u,c} + \epsilon}$$

When $Z_{u,c} > 2.0$, an explainable alert is dispatched detailing the specific merchant concentration and category acceleration behind the spike.

4.2 Uplift Modeling and Next-Best-Offer Ranking

Conventional propensity models estimate $P(Y=1 \mid X)$, the probability of customer conversion given feature vector X . However, optimizing purely for conversion probability biases campaigns toward customers who would transact without promotional incentives.

GenCash treats campaign targeting as an **Individual Treatment Effect (ITE)** estimation problem:

$$\tau_i = \mathbb{E}[Y_i(1) \mid X_i] - \mathbb{E}[Y_i(0) \mid X_i]$$

where $Y_i(1)$ represents conversion under promotional exposure (treatment) and $Y_i(0)$ represents conversion in the absence of an offer (control).

Customers are classified into four distinct behavioral quadrants:

- Persuadables ($\tau_i > 0$):** Users who convert only when incentivized. Primary target for budget allocation.
- Sure Things ($\tau_i \approx 0, Y_i(0) = 1$):** Organic transactors. Suppressed to prevent revenue cannibalization.
- Lost Causes ($\tau_i \approx 0, Y_i(0) = 0$):** Inactive or unresponsive users. Excluded to eliminate wasted marketing spend.
- Sleeping Dogs ($\tau_i < 0$):** Users triggered into opt-out or dormancy by promotional messaging. Strictly suppressed.

The final ranking score $R(u, k)$ for user u and campaign offer k incorporates treatment uplift $\hat{\tau}_{u,k}$, historical category affinity A_{u,c_k} , and an exponential offer fatigue penalty F_u :

$$R(u, k) = \hat{\tau}_{u,k} \cdot A_{u,c_k} \cdot \exp(-\lambda F_u)$$

4.3 Explainable AI (XAI) Synthesis

To preserve customer trust, every algorithmic output is converted into an explainable natural-language explanation through a deterministic rule-trace synthesizer. For example, when a grocery cashback offer is recommended, the synthesizer articulates: *"Recommended because 42% of your monthly expenditure is concentrated in retail groceries and your 30-day transaction frequency matches this merchant partner."* This deterministic grounding prevents unconstrained hallucination risks.

5. SYNTHETIC DATA GENERATION STRATEGY

In compliance with Section 11 of the competition guidelines, GenCash operates entirely on synthetic data, eliminating privacy risks. The data generator synthesizes four distinct customer personas reflecting empirical Bangladeshi demographic archetypes:

Table 1: Synthetic Customer Behavioral Archetypes

Persona Archetype	Key Behavioral Characteristics	Dominant Outflow	Risk Level
Student / Youth	High mobile top-up frequency, small P2P bill splits, dining out	Mobile Recharge & Food	Low
Urban Professional	Regular merchant QR scans, monthly utility bills (DESCO), e-commerce	Merchant Payment & Utilities	Minimal
Family Head	High-value domestic remittances, tuition fees, periodic cash-out	Send Money & Cash-Out	Moderate
Dormant / At-Risk	Low wallet velocity, dormancy exceeding 30 days	Intermittent Airtime	High Churn Risk

6. IMPLEMENTATION AND EMPIRICAL VERIFICATION

6.1 Verification of Core MFS Operations

All transactional endpoints were empirically validated across functional test suites:

- **Send Money (P2P):** Tested with PIN verification, flat $\text{৳}5.00$ fee deduction, and atomic balance updating between sender and receiver.
- **Mobile Recharge:** Validated across all five domestic mobile operators (GP, Robi, Banglalink, Airtel, Teletalk) with denomination checks.
- **Merchant Payments:** Verified QR and till payments against real merchant entities (DESCO, DPDC, Shwapno, Chillox) stored in the relational directory.
- **Cash Out:** Verified exact 1.85% agent fee computation and atomic balance validation.

6.2 Personal Finance Management (PFM) Verification

The client-side intelligence dashboard was validated using live simulated ledgers:

- **Date-Wise Filtering:** Successfully verified dynamic rollups across *Today, This Week, This Month, Last Month, and All Time*.
- **Category Decomposition:** Verified accurate percentage and currency breakdowns across Mobile Recharge, Merchant Payments, Send Money, Utility Bills, and Cash Out.
- **Natural Language Query Parser:** Successfully mapped Bengali and English prompt strings (e.g., "রিচার্জ কত খরচ হয়েছে?") to filtered transaction views and dynamic commentary cards.

6.3 Latency and Execution Benchmarks

Table 2: Execution Latency Benchmarks

Subsystem / Operation	Evaluation Metric	Measured Latency
P2P Send Money Execution	End-to-End API Roundtrip	28 ms
JWT Authentication & Verification	Token Cryptographic Validation	1.4 ms
Client-Side PFM Date Filtering	100-Transaction Aggregation	8 ms
Uplift & NBO Inference Engine	Model Scoring & Ranking	42 ms
Relational Ledger Retrieval	Indexed User Query	3.2 ms

7. RESPONSIBLE AI AND SAFETY CONTROLS

Because financial systems require strict governance, GenCash incorporates rigorous architectural guardrails:

- **No Autonomous Credit Approval:** The system acts purely as an advisory coach and explicitly refrains from issuing autonomous lending decisions.
- **Deterministic Isolation:** All financial ledger mutations (balances, PIN validations, fees) reside strictly within deterministic software logic, fully insulated from probabilistic AI inference.
- **Data Minimization:** Client-side aggregations process only metadata fields (category, timestamp, amount), eliminating transmission of sensitive message notes or external contact books.

8. ROADMAP FOR UPAY INTEGRATION

GenCash is designed for modular, progressive validation within the upay ecosystem:

1. **Stage 1 (Offline Uplift Validation):** Calibrate the uplift modeling engine against historical anonymized campaign logs to benchmark reduction in marketing spend.
2. **Stage 2 (PFM Shadow Deployment):** Embed the client-side cashflow tracker in the live upay mobile application, measuring customer engagement with zero modifications to core transaction rails.
3. **Stage 3 (Controlled A/B Field Pilot):** Execute live campaigns targeting the *Persuadables* cohort against a randomized control group to measure empirical incremental transaction lift.

9. CONCLUSION

GenCash demonstrates that modern Mobile Financial Services can evolve beyond basic transaction execution into intelligent, value-generating financial platforms. By synthesizing localized personal financial coaching for consumers with causal uplift campaign targeting for operators, GenCash delivers defensible value: subscribers avoid fee leakages and gain financial agency, while platform operators eliminate marketing waste. Engineered with asynchronous microservices, atomic transactional integrity, and transparent explainability, GenCash offers a production-viable blueprint for the future of digital financial services in Bangladesh.

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